

**GUIDELINES FOR GRANT, OPERATION,
SURVEILLANCE & CANCELLATION OF
CERTIFICATE OF REGISTRATION OF
JEWELLERS**

ISSUED BY

**BUREAU OF INDIAN STANDARDS,
9, BAHADUR SHAH ZAFAR MARG,
MANAK BHAWAN,
NEW DELHI**

GUIDELINES FOR GRANT, OPERATION, SURVEILLANCE AND CANCELLATION OF CERTIFICATE OF REGISTRATION OF JEWELLERS

1 These guidelines stipulate the procedure for Grant, Operation, Surveillance and Cancellation of Certificate of Registration. These are to be read in conjunction with BIS Act 2016, BIS Rules 2018 and BIS (Hallmarking) Regulations, 2018 and BIS (Hallmarking) Amendment Regulations, 2021. In particular, the Grant, Operation, Surveillance and Cancellation of Certificate of Registration are addressed in Chapter I of BIS (Hallmarking) Regulations, 2018 and BIS (Hallmarking) Amendment Regulations, 2021. Any situation, in general, not covered in these guidelines is to be dealt as per the provisions of Act, Rules and Regulations by the Regional Offices and Branch Offices.

2 GRANT OF CERTIFICATE

2.1 Any jeweller willing to obtain Certificate of Registration for Selling Hallmarked Jewellery/artefacts shall apply online at the Manakonline portal of BIS. The registration is granted instantly. A mail and SMS alert will go to him/her, informing the Registration Number, and he/she can download and print the Certificate of Registration using the Registration Number.

2.1.1 The BOs should scrutinize the registrations granted particularly for antecedents and any discrepancy observed may be communicated to the jeweller through portal for replying within thirty days. If no reply is received or the reply is not found to be satisfactory the registration may be processed for cancellation after following the due procedure as mentioned in hallmarking regulations.

2.1.2 Non-eligibility to apply for certificate of registration

2.1.2.1 In case of cancellation of registration under sub-regulation 1(e) of Regulation 7 of the BIS(Hallmarking) Regulations, 2018, the jeweller is NOT eligible to apply for certificate of registration before a cooling period of one year from the date of passing of such order.

2.1.2.2 A jeweller, who has been convicted under the provisions of the Act, shall not be eligible to apply for certificate of registration for a cooling period of one year from the date of such conviction.

Note- The person(s) or firm who are NOT eligible to apply for certificate of registration but they have taken registration through the online portal such registrations are liable to be cancelled by BIS.

2.2 In case of Corporate Certificate of Registration, the Registered / Head Office of the jeweller firm shall apply for grant of Corporate Certificate of Registration along with a list of retail outlets to be covered in the Certificate.

2.2.1.1 Every retail outlet, which has been covered under a Corporate Registration, shall be issued an independent Certificate document mentioning the address of the retail outlet.

2.3 The following types of changes or in combinations thereof may occur during the operation of the Certificate of Registration:

- a) Change in address of the sales outlet (s);
- b) Change in the name of the firm;
- c) Change in the Management of the firm, with or without change in the name

2.3.1 The firm shall apply to the online portal for the changes mentioned above. An endorsement for change shall be given in the Certificate of registration.

3 DISPLAY REQUIREMENTS IN SALES OUTLET

3.1 On the outside of the sales outlet, the registered jeweller shall display the logo of BIS with the wording “Hallmarked Jewellery available for sale” as shown



Hallmarked Jewellery
Available for Sale

3.2 The certificate of registration issued by the BIS for sale of hallmarked articles shall be displayed prominently in the sales outlet.

3.3 Inside the sales outlet, the following information shall be displayed

3.3.1 Marking (components of hallmark) to be seen on Hallmarked article.

3.3.2 Magnifying glass of minimum 10X magnification is available for customers to verify the details of the Hallmark on the jewellery/artefact.

3.3.3 Weighing balance of 0.01 g accuracy is available for verification of the weight of the jewellery/artefact;

3.3.4 Contact details of BIS office for any query or complaint; and

3.3.5 Hallmarking charges –

- Rs. 35 per article for gold jewellery / artefacts.
- Rs. 25 per article for silver jewellery/artefacts

NOTE- Each outlet shall have a magnifying glass of minimum 10 X magnification and a balance of accuracy 0.01 g capable of weighing the jewellery.

5 MARKET SURVEILLANCE

- 5.1 BO should undertake atleast one market surveillance every year of registered jewellers including those with corporate registration, within their territorial jurisdiction.
- 5.2 Market surveillance may be undertaken by BIS officers/staff or agents authorised by BIS (Hallmarking agents (HMA)).
- 5.3 The surveillance plan should be chalked out in such a way that minimum of 5 jewellers located contiguoususly can be covered in a day. While drawing plan, it shall also be ensured that at least one sample from each of the AHC is drawn.
- 5.4 BIS officer/staff should necessarily carry identity card and HMA should carry authorization letter from Head (BO) and visit only the jewellers allotted by Head BO for market surveillance.
- 5.5 A minimum of 15 days in a month shall be utilized by the Hallmarking agents (HMA) for market surveillance of jewellers.
- 5.6 BIS officer/staff/HMA shall use the mobile app or online application developed by BIS for purpose of market surveillance.
- 5.7 Market surveillance of jeweller should include
 - i) Randomly verifying the authenticity of the HUID code mentioned on gold jewellery/artefacts by entering the six digit alphanumeric number in software and checking whether the type of jewellery, weight, jewelers name, AHC name matches with the details provided by the jeweler. A minimum of 5 hallmarked pieces of each caratage available needs to verified.
 - ii) Filling the market surveillance report placed at Annexure B, online
 - iii) Drawal of sample randomly from the hallmarked jewellery/artefact available with jeweller
- 5.8. The registered jeweller should assist the BIS representative in market surveillance , verification of the authenticity of HUID code and allow BIS to draw sample, free of cost, randomly from the hallmarked stock available for testing in BIS referral laboratories.
- 5.10 The samples shall be drawn either by cutting or drilling or scrapping. This facility should be available with the registered jeweller
- 5.11 Sample size of preferably a minimum of 2 gram in case of gold jewellery/artefact and 20 grams in case of silver jewellery/artefact, shall be drawn for testing.
- 5.12 One part of sample of approx. 1 gm of gold jewellery/artefact and 10 grams in case of silver jewellery/artefact shall be packed in a durable packing material, coded,

sealed with official seal of BIS and signed by BIS official/ agent and the representative of the registered jeweller.

5.13 The remaining part of the sample containing the details of hallmark shall also be packed, coded, sealed and signed in the similar manner and labelled as counter sample.

5.14 The counter sample shall be retained by the jeweller till the time the test report is received and the registered jeweler and the AHC concerned agrees with the test report and neither of them wish to dispute the same, which should be done within 14 days of receipt of intimation of failure .

5.15 All the sample collected in a day shall be deposited by HMA in the evening/next day morning with dealing officer authorized by Head BO.

5.16 In case of outstation tour for HMAs, the tour should be limited to maximum two days and all the sample collected shall be deposited by the HMA to the BO immediately on returning from tour.

5.17 The test request shall be prepared by the dealing officer in the BO and the samples should be sent to BIS referral laboratory for testing by insured parcel within 2 working days of receipt in BO. In case of non-acceptance by BIS labs, the samples may be sent to any other BIS approved referral lab.

5.18 A credit note should be issued by BIS against the value of gold sample drawn for the testing and not for the counter sample which is to be retained at the jewellers end. The value shall be determined after weighing the sample being taken for testing before it is sealed. The weight shall be multiplied with the rate of precious metal prevalent on that day as maintained by the jeweller in his sales outlet and the sum of money shall be recorded in the Credit /Debit note jointly signed by the jeweller and Bureau's representative.

5.19 The laboratory should test the sample on priority and the test report should be sent to the BO. The remnants and the cornets of the sample tested shall be returned to the BO after the time period specified by the laboratory in their manual as amended from time to time. At present for BIS labs for the samples which have passed is one month and for failing samples it is three months. BOs shall maintain a database of the sample drawn and the cornets received and handed over to jeweler.

5.20 The BO shall return the cornet and remnants, if any, to the jeweller firm/manufacturer. On the return of cornet of gold, the debit shall be recorded in the credit/debit note proforma and jointly signed by BIS and jeweller representative. In case of silver jewellery/artefacts there will be no cornet/remnant.

5.21 Testing of Counter Sample On failure of sample in independent laboratory, if registered jeweller and/or recognized A&H centre does not agree with the results obtained and provide proper justification, testing of counter sample may be permitted with the approval of DDGR for which double the testing

charges shall be paid in advance by the registered jeweller and/or the A&H centre. The test results of the counter sample shall be acceptable to the firm and no further testing will be allowed. This shall be made clear to the jeweller and AHC firm before undertaking the testing of the counter sample. However, Head Bos may allow testing of counter samples when the original sample is damaged or lost in transit due to bonafide reasons.

- 5.21.1 Both jeweller and A&H centre may be allowed to witness the testing if requested by them.
- 5.21.2 As the counter sample is available with the jeweller the same shall be deposited by jeweller in the original sealed conditions to the laboratory.
- 5.21.3 The sealed counter sample shall be opened in the presence of the jeweller, the assaying centre and the BIS representative who has drawn the sample. Before undertaking the testing of the counter sample by referral laboratory the jeweller and A&H centre authenticate the counter sample and submit undertaking that the test results of the counter sample will be acceptable to them and no further testing will be allowed.
- 5.21.4 In case either the assaying centre or the jeweller is not available at the time of opening the counter sample an undertaking may be obtained from him that they abide to the observations made by the party present during the opening of counter sample.
- 5.21.5 For witnessing the test, a separate charge of rupees ten thousand per day, cost of travel, boarding and lodging for the BIS representative who had drawn the sample shall be payable by the AHC and/or jeweller. In addition to the concerned BIS representative, lab QA officer shall also personally remain present and witness such testing either in BIS laboratory or in OSL.

5.22 Action on market surveillance reports : If the registered jeweller is found not to have complied with one or more requirements given under 3 of this Guidelines, a warning letter will be issued on the first reported non-compliance and the jeweller shall be required to submit the corrective action along with the evidence of that within 72 hours .

5.23. In case no response for this communication is received, further action towards cancellation may be initiated.

6 ACTION ON FAILURE OF MARKET SURVEILLANCE SAMPLES

6.1 All the test reports indicating failure shall be communicated to the registered jeweller with a copy of the test report within 7 days from receipt of test report and advising to explain reasons for failure to BIS within 14 days of its receipt. The failed test report shall also be communicated to the HMO (R)

6.2 When the sample fails by more than 40 ppt shortage in fineness, the process for cancellation shall be initiated in accordance with section 7 of BIS (Hallmarking) Regulations, 2018. In case of Corporate Registration the process for cancellation shall be initiated for that particular outlet only.

6.3 When the sample fails in shortage in fineness of above 5 ppt upto and including 40 ppt—on the marked fineness irrespective of the presence of prohibited elements, within 30 days from the date of intimation of failure, a random sample shall be drawn for independent testing and sent for testing.

6.3.1 If the sample drawn is passing as per relevant standard, normal operation of registration may be allowed to continue.

6.3.2 If the sample drawn is failing with shortage in purity/fineness, the process for cancellation of registration shall be initiated.

Note- In case, the improved sample drawn fails in fineness above 2 ppt upto and including 5 ppt and/or presence of prohibited elements(in case of silver, shortage in fineness is upto and including 5 ppt of the marked fineness and/or presence of prohibited elements), another chance shall be given to the jeweller to offer improved sample. In case the improved sample drawn fails the process for cancellation of registration shall be initiated

6.4 Sample fails in shortage in fineness of above 2 ppt upto and including 5 ppt on the marked fineness and/or presence of prohibited elements(in case of silver, shortage in fineness is upto and including 5 ppt of the marked fineness and/or presence of prohibited elements)

- on receipt of explanation/corrective actions from the jeweller within 90 days from the date of intimation of failure, a random sample shall be drawn for independent testing from an improved hallmarked lot as declared by registered jeweller and sent for testing.

- If the sample drawn is passing as per relevant standard, normal operation of certificate may be allowed to continue.

- If the sample drawn is failing with shortage in fineness and/or presence of prohibited elements, the failure enclosing copy of the Test Report shall be communicated, to the registered jeweller, calling for explanation, giving 14 days' time and advising him to take suitable corrective actions under intimation to BIS.

- On receipt of explanation/corrective actions and within 90 days from the date of intimation of failure, a random sample shall be drawn for independent testing from an improved hallmarked lot as declared by registered jeweller and sent for testing.

- If the sample drawn is passing as per relevant standard, normal operation of certificate may be allowed to continue. If the sample drawn is failing with shortage in purity/fineness and/or presence of prohibited elements, the process for cancellation of registration shall be initiated.

Note- In case the improved sample drawn fails in fineness above 5 ppt, the process for cancellation shall be initiated in accordance with section 7 of BIS (Hallmarking) Regulations, 2018

7 ACTION ON UNFAIR PRACTICES

7.1 The certificate of registration shall be processed towards cancellation for the situations stipulated in Hallmarking Regulations, 2018.

7.2 Hallmarking Regulation, 2018 stipulates unfair practices amounting to misuse of hallmark which may lead to cancellation of the certificate of registration. The unfair practices is not limited to, but may include one or more of the following situations:

- a) Hallmarking done from non-recognized A&H Centre;
- b) Counterfeiting of Hallmark on articles;
- c) Sale of articles with incomplete Hallmark;

8 OTHER OBLIGATION TO REGISTERED JEWELLER

8.1 The registered jeweller may ensure that the jewellery/artefact which bears any marking including “KDM” or fineness/caratage are not sent to A & H centre for hallmarking. Similarly the medallions which resemble with currency of any country may not be sent to A & H centre for hallmarking.

8.2 The registered jeweller shall submit the precious metal articles to the A&H centre with a request for hallmarking in writing or through online portal for each consignment as prescribed in Hallmarking Regulations, 2018. An indicative format Doc. HM/JWLR/F 1.3, November 2021 is enclosed at **ANNEX C**.

8.3 “In addition to the indication of separate description of each article, net weight of precious metal, purity in carat and fineness, and hallmarking charges in the bill or invoice of sale of hallmarked precious metal articles as specified in BIS (Hallmarking) Regulations, 2018, the bill or invoice of sale of hallmarked precious metal articles shall also mention that the consumer can get the purity of the hallmarked jewellery/artefacts verified from any of the BIS recognized A&H centre. The list of BIS recognized A&H centre along with address and contact details is available on the website www.bis.gov.in

9 COMPENSATION FROM JEWELLER IN CASE OF FAILURE OF SAMPLE

9.1 The registered jeweller getting the article hallmarked shall be responsible for purity and fineness of such article. The registered jeweller, who makes the sale shall be liable to pay compensation for any shortage in purity or fineness as per as per clause 49 of BIS Rules 2018.

9.2 If the registered jeweller does not redress a complaint about sale of Hallmarked jewellery/artefact found substandard on test at a BIS referral laboratory, the process for cancellation shall be initiated in accordance with section 7 of BIS (Hallmarking) Regulations, 2018.

10 PROVISION OF APPEAL

Any person aggrieved by an order made under sub-section (4) of section 14 of the BIS Act, 2016 may prefer an appeal as prescribed in BIS Rules, 2018.

ANNEX A

DOC: HM/JWLR/F 1.1

November 2021

BUREAU OF INDIAN STANDARDS

CREDIT/DEBIT NOTE FOR PURCHASE OF HALLMARKED SAMPLE

A) CREDIT DETAILS:

Sl.No.	Particulars	Observations
1	Registration No.	
2	Name of the Jeweller	
3	Date of visit	
5	Fineness	
6	Weight of the sample taken for testing	
7	Rate of the sample drawn	
8	Amount	

Signature of the firm representative	Signature of the BIS official
Name	Name
Designation	Designation
Date	Date

B) DEBIT DETAILS:

The cornets of the sample has been handed over to the jeweller

Signature of the firm representative	Signature of the BIS official
Name	Name
Designation	Designation
Date	Date

ANNEX B

DOC: HM/JWLR/F 1.2

November 2021

BUREAU OF INDIAN STANDARDS

REPORT OF SURVEILLANCE ON CERTIFIED JEWELLER

Sl.No	Particulars	Observations during assessment
1	Registered Jeweller's name	
2	Registered Jeweller's address:	
3	Date of Visit	
4	Standard : IS 1417/ IS 2112	
5	Registration granted on	
6	Person contacted	
7	Check whether address of sales outlet is the same as stated in the Certificate	YES/NO
8	Check whether following requirements are displayed:	Mark √
	a) BIS Standard Mark with necessary wording outside the sales outlet	
	b) Original Certificate issued by BIS	
	c) Components of Hallmark and correlation between fineness and corresponding caratage	
	d) Availability of Magnifying glass of 10X magnification (check physical availability also)	
	e) Availability of calibrated balance for verification of weight by Customer (check physical availability also)	
	f) Hallmarking charges per article as fixed by BIS	
	g) Maintenance of Records, as applicable.	
	h) Check randomly HUID marked on few hallmarked articles and verify that the Type of jewellery, purity , weight marked on the jewellery matches with the same mentioned in BIS software. Also check whether the name of AHC and Jeweller is matching with the declaration made by Jeweller	
	i) Check whether the jeweller has made declaration for the hallmarked stock with old four marks as on 30 June 2021. If not take the declaration	

9.	Markings on hallmarked jewellery/artefacts: a) Completeness of four marks/three marks b) Legibility of the marking	
10	SAMPLE DETAILS	
	a) Description of the article & weight	
	b) Markings on the article	
	c) Take Declaration from jeweller of the AHC who has hallmarked the sample	
	d) Take Declaration from jeweller of the jeweller who has got the jewellery hallmarked	
	e) Check from BIS software the name of AHC and Jeweller against particular HUID. Mention the name and recognition number of AHC who has hallmarked the sample and name and registration number of jeweller who has got the jewellery hallmarked	
	c) Weight of sample	
	d) Weight of counter sample	
	e) Code as written on sample	
	f) Code as written on counter sample	
	g) Impression of seal applied on the sample	
11	Return of gold sample remnant /cornet after testing: a) To be collected by the representative of the Jeweller from BO : Yes/No b) if No, the cornet will be sent by insured parcel to the Jeweller	
The sample is sealed and being taken to BIS office by BIS Representative. Counter sample duly sealed is being retained with the sales outlet. The above article has been hallmarked by _____ (Name of A&H Centre, Recognition number & place shall be indicated).		

12	Discrepancy Observed, if any	
13	Remarks, if any	

Signature of the firm representative	Signature of the BIS official
Name	Name
Designation	Designation
Date	Date

ANNEX C
DOC: HM/JWLR/F 1.3
November 2021

REQUEST FOR HALLMARKING

a) Name & Address of the registered jeweller:

b) Registration No. :

c) Identification mark:

d)

Sl. No	Type of article (each consignment)	Nos	Weight*	Declared Purity	Remarks

* weight of each type of article or overall weight of consignment

Name & Signature of Authorized Representative of Jeweller with date